

Reliance Power was sizzling, and they were quoting at a premium of Rs 35 in November even before the price band for the issue was announced.

Lastly, there was the gigantic build-up of leveraged positions in the futures and options market. Worryingly, too many retail investors had got into a game meant for deep-pocketed players. To maximize commissions, brokers were encouraging their retail clients to recklessly build positions without any thought to the consequences if prices were to move sharply against them.

GB pointed out one more warning sign to me.

‘One sure sign of trouble is when businessmen and traders outside the stock market start heading here, convinced this is the place to make good money. In the right proportion, their investments are welcome, and even good for the market from a liquidity perspective. But the problem arises when they start ignoring their main business and start chasing easy money,’ he said.

Wherever I looked, the signs of a foolhardy euphoria were unmistakable. And yet, I was not sure if it was the right time to start going short on the market. The market kept climbing all through December, and both my trading positions and portfolio were turning in handsome returns. Yet, I was beginning to get uneasy. After topping 20,000 in late October, the Sensex was now moving in a narrow range, but many small- and mid-cap shares continued to make new highs every other day.

Even though I was wary of going short on the market, I began reducing my trading positions mid-December onwards. I then evaluated my portfolio, and decided to encash the stocks that had doubled over the last one year. These stocks were unlikely to rise at such a scorching pace in the near future. I had to curb my temptation to reinvest the profits; not an easy thing when you are surrounded by noise that the Sensex is going to touch 25,000 before the middle of next year. But I reminded myself that I was not getting any younger. A misstep at this stage of my career could set me back by a few years. I was no longer worried about going bankrupt, but recouping big losses would not be as easy as it was, say, five years ago. As I kept winding down my positions, I became more relaxed. Bina was happy too as I got home much earlier than before, and was able to spend time with her and the kids.

It had been yet another fantastic year for the market, the fifth in a row since the bull run began in 2003. True, there had been at least one sharp